Note 8: Income Taxes

The provisions for income taxes for the years ended September 30, 2023, and 2022 are as follows:

	2023	2022
Current:		
Federal	$ 229,500	$ 524,500
State	98,600	218,500
	$ 328,100	$ 743,000
Deferred:		
Federal	$ 4,600	$ (12,900)
State	9,900	(5,400)
	14,500	(18,300)
Provision for income taxes	$ 342,600	$ 724,700

The Company uses the asset-liability method of computing deferred taxes in accordance with FASB ASC Topic 740. The difference between the effective tax rate and the statutory tax rates is due primarily to the impact of state taxes net of the federal tax benefit and nondeductible variable costs of shareholder usage.

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Note 8: Income Taxes (Continued)

At September 30, 2023, and 2022, the deferred income tax liabilities consisted of the following:

	2023	2022
Deferred tax assets (liabilities):		
Federal	$ (382,400)	$ (377,800)
State	(57,000)	(47,100)
Net deferred income taxes	$ (439,400)	$ (424,900)

Deferred income taxes arise from temporary differences between the tax basis of assets and liabilities and their reported amounts in the financial statements, which will result in taxable or deductible amounts in the future. The majority of the balance is due to timing differences of depreciation expense, caused by the use of accelerated depreciation methods for tax calculations.

At September 30, 2023, and 2022, the deferred income tax liabilities consisted of the following temporary differences:

	2023	2022
Depreciation	$ (478,800)	$ (525,400)
Unrealized gain on investments	-	-
Total gross deferred tax liabilities	(478,800)	(525,400)
Vacation accrual	700	34,400
Federal benefit of state taxes	38,700	66,100
Total gross deferred tax assets	39,400	100,500
	$ (439,400)	$ (424,900)

There were no net operating loss or tax credit carryforwards for the year ended September 30, 2023, or 2022 for federal or state.